

Texas WIC Health and Human Services Commission

Effective June 1, 2026

Policy No. AC:19.0

Allowable Costs – Indirect Costs

Purpose

To allow local agencies to recover overhead and organizational general and administrative expenses on WIC awards.

Authority

2 CFR 200. 2 CFR 200.416; 7 CFR 246.14; Texas Grant Management Standards (TxGMS); [Indirect Cost Rates | Texas Health and Human Services](#)

Policy

The Texas Health and Human Services (HHS) Indirect Cost Rate (ICR) group is responsible for reviewing, negotiating, and approving requests for indirect cost rates. The Texas WIC local agency must have an approved indirect cost rate on file with the Texas HHS ICR group prior to billing indirect costs to the Texas WIC program. An approved indirect cost rate may be any of the following:

- I. A rate that has been issued from another state or federal agency which has been acknowledged by the Texas HHS ICR group.
- II. A negotiated rate issued by the Texas HHS ICR group.
- III. The de minimis rate, also acknowledged by the Texas HHS ICR group.

Charging indirect costs without an approved indirect cost rate may result in cost disallowance and the LA may be required to reimburse the funding agency.

Definitions

Indirect costs - Expenses that are necessary for general and administrative operation of the organization and are not easily traced back to a specific grant, contract, activity or project function. Indirect costs are commonly referred to as overhead or facilities and administration costs. These costs are considered common or shared and are incurred in support of more than one

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cost objective. Additionally, certain expenses may be partially direct and partially indirect. For example, rent is an expense that could have a direct component and an indirect component. The direct component would be the cost of the space that a program is using. The indirect component would be the cost of the space that the entire organization benefits from, such as common areas.

Direct costs - Expenses that can easily be traced back to a specific grant, contract, activity, project or program.

Procedures

- I. The local agency's parent agency must submit its Texas HHS ICR questionnaire by going to the [Federal Funds Office Indirect Cost Rate Group Landing Page](#) and selecting "Indirect Cost Rate Questionnaire" on the drop-down menu.
- II. The ICR group will review the request and contact the local agency's parent agency with the steps and process to negotiate an indirect cost rate, elect to use the de minimis rate, or acknowledge the use of an existing rate from another state or federal agency.
- III. When the indirect cost rate and its method is approved by the Texas HHS ICR group, the local agency is allowed to bill indirect costs to its individual funding accounts, if applicable. The local agency cannot bill the same cost as both an allocated direct cost and indirect cost.
- IV. Indirect costs must be billed on the reimbursement invoices and reported on the quarterly Financial Status Reports (FSR). Indirect costs can be billed on a monthly, quarterly, or annual basis.
- V. Contact the Texas HHS ICR group for all indirect cost questions via email at IndirectCostRateGroup@hhs.texas.gov or by using the [Federal Funds Office Indirect Cost Rate Group Landing Page](#) and selecting "Technical Assistance" on the drop-down menu.